

Portfolio report: 2026-10-07 (Wednesday)

Prices as of the Wednesday 2026-10-07 close (US Eastern). News window: Monday 2026-10-05 after the close through Wednesday 2026-10-07 after the close. There was no report on Tuesday, so this one covers two trading days: Tuesday 10-06 and Wednesday 10-07. Started on Wednesday afternoon and finished in the early hours of Thursday 2026-10-08 (Madrid), after pauses caused by usage limits.

New position: QQQM. Your sheet shows a new trade dated Tuesday 6 October: 0.100 shares of QQQM, the Invesco NASDAQ 100 ETF [an exchange-traded fund: one share that holds a whole basket of stocks]. At Tuesday's close that is \$31.28, now your largest holding (13.7% of the portfolio). It has no approved thesis yet. A draft is in theses/QQQM.md for you to approve, rewrite or reject. Your fill prices (column Q) are still empty, so every entry price below is the sheet's estimate: the closing price on the day you bought.

The bottom line

- **Two very different days.** In short: you did a little better than the market on Tuesday and much worse on Wednesday. Wednesday hurt because the industries you own fell much harder than the market, and nobody has confirmed why they fell. On Tuesday stocks hit records, and your 16 stocks rose 0.66% (\$199.47 to \$200.79), a bit more than the S&P 500 fund's (SPY) 0.55%. On Wednesday your whole portfolio, now 17 holdings, fell **1.84% (\$232.06 to \$227.80)**, while the S&P 500 fund fell only 0.24%. About \$3.29 of the \$4.26 loss came from the industries you own (cybersecurity, chips, optics, construction) falling more than the market (our calculation from the attribution file).
- **Why Wednesday hurt: not settled.** Three things happened that day. First, interest rates jumped in the morning. The 10-year US government bond rate [Treasury yield: what the US government pays to borrow for 10 years] touched about 5.36%, its highest since 2002, as stocks opened lower [Yahoo Finance, 2026-10-07](#). It then eased and closed at 5.28%, almost unchanged from Tuesday's 5.27% [US Treasury, 2026-10-07](#). Higher rates matter because they make far-off profits worth less today (see the Lesson of the day). Second, in the afternoon, the minutes [the written record] of the Federal Reserve's (the US central bank's) September meeting said another rate rise "would likely be appropriate by year end". Oil also rose to around \$100 a barrel after attacks on shipping (same Yahoo source). Third, the stocks that fell most had also risen most just before, so profit-taking [selling to lock in recent gains] is an equally likely part (inference, low-to-medium confidence).
- **Since you bought:** \$230.76 invested, worth **\$227.80: -\$2.96 (-1.28%)**. That is roughly Tuesday's gain of \$1.31 minus Wednesday's loss of \$4.26 (the cent of difference is rounding). The biggest dollar losses on Wednesday came from CrowdStrike (-\$0.99), which fell more than its industry for no confirmed reason, and Palo Alto Networks (-\$0.72), which fell with its industry. Only Moderna rose (+\$0.90), and nobody published why.
- **Rules:** your 5% "explain this" rule fired **six times in two days**. On Tuesday: Sterling (STRL) +7.71%, Applied Optoelectronics (AAOI) +7.07% and Moderna (MRNA) -7.75%. On Wednesday: STRL -5.24%, AAOI -5.85% and AXT (AXTI) -5.08%. None had company news behind it. None was extreme for these jumpy stocks: their usual daily swings run from 5.6% to 8.3% of the price. We split each move into a market part, an industry part and a company part (attribution). By that split, four were mostly the stock's own move, with no confirmed cause: AAOI and Sterling on Tuesday, AAOI and AXT on Wednesday. Moderna on Tuesday and Sterling on Wednesday were mostly their industry (details in each section). No stop-loss or target can fire, because columns S and T of your sheet are empty.
- **One possible THESIS ALERT, and your definition decides it: Credo (CRDO).** A closer read of filings with the SEC (the Securities and Exchange Commission, the US stock-market regulator) shows **three** insiders [a company's top managers and directors] sold outside pre-set plans since June. Two of them sold within four weeks in September. Your general breaker says "several insiders" without a number or a time window, so whether it is met depends on what you meant (see the rules table). AAOI stays

Challenged from Monday because of share dilution [new shares shrinking each existing share's slice]. It also had one unplanned insider sale in September that earlier reports missed.

- **Coming fast:** TSMC's September sales were due on Thursday 10-08 at 07:30 Madrid, after this report's cut-off (not covered here). Moderna joins the Nasdaq-100 on Friday 10-09, which means your new QQQM fund will own a little Moderna. ASML (your biggest single stock) reports on 10-14 and TSMC on 10-15.

Your rules today

These are your own rules from `config/rules.toml` and your sheet. The report shows which fired and the evidence both ways, never a buy or sell call: the decision, and the knowledge of your whole situation, are yours.

Stock	Status	Why
STRL	WATCH (both days)	Up 7.71% on Tuesday and down 5.24% on Wednesday; your line is 5%. Its usual daily swing is 5.6%, so both days were big but not extreme for it. No company news either day. Tuesday: companies that build data centers rallied with the market. Wednesday: construction stocks fell as interest rates jumped (the full cause is not settled; see the bottom line). Net +2.06% since Monday.
AAOI	WATCH (both days) + THESIS ALERT still open	Up 7.07% on Tuesday and down 5.85% on Wednesday, with no company news; net +0.80%. Its usual daily swing is 7.1%, so both days were ordinary for it. Monday's dilution alert is unchanged, because no new share count has been published.
MRNA	WATCH (Tuesday)	Down 7.75% on Tuesday, then up 4.81% on Wednesday; its usual daily swing is 7.5%. Tuesday was mostly biotech stocks falling, plus a plague scare fading after the World Health Organization called the risk low (see MRNA). Nobody published why it rose on Wednesday.

Stock	Status	Why
AXTI	WATCH (Wednesday)	Down 5.08% on Wednesday after -3.00% on Tuesday: -7.93% (-\$0.69) since you bought, your worst position over the two days. No company news. Wednesday's whole fall came at the open, as interest rates jumped and chip and optical stocks opened lower. Normal-sized for this very jumpy stock: its usual daily swing is 8.3%, the largest you own.
CRDO	Possible THESIS ALERT: your definition decides	No new sale in the window. But re-reading the SEC filings shows three insiders sold outside pre-set plans since June (sources 1-3). They are director Clyde Hosein (3,451 shares on 07-01), the Chief Legal Officer (06-11, 09-21 and 10-01) and the Chief Technology Officer (CTO, 09-04). Two of them sold within four weeks. Your breaker is met if "several" means two within a month (the standard in your VIAV thesis). It is also met if it means three with no time limit. It is not met only if it means three within a month. The unplanned sales were small next to the planned ones: about \$2.6 million from 4 September to 1 October, against about \$53 million of pre-planned sales in the same weeks. Status stays Watch until you decide.
CRWD, PANW, SNOW, LITE, TSM, AMD, BE, A, VIAV, FORM, ASML, QQQM	No rule fired	No move over 5% on either day, no stop or target set in your sheet, no breaker found.

Sources for the table:

- (1) CRDO, CTO sale: [SEC Form 4, 2026-09-09](#)
- (2) CRDO, Chief Legal Officer sale: [SEC Form 4, 2026-09-23](#)
- (3) CRDO, director sale: [SEC Form 4, 2026-07-02](#)

How this table was built: data/metrics/rules-2026-10-07.json covers only Wednesday. Tuesday's WATCH rows are reconstructed from Tuesday's closing prices against the same 5% rule. "THESIS ALERT" labels come from the thesis review, not from config/rules.toml.

Not checkable yet: your **stop-loss** and **target** rules use columns S and T of your sheet, which are empty for every trade. Four other rules are switched off in config/rules.toml: max-loss, trailing, long-trend

and concentration.

Proposed, for you to decide (nothing has been changed): (1) Your general thesis breaker says "several insiders sold ... outside pre-planned 10b5-1 trading plans" [a 10b5-1 plan is a selling schedule set months in advance, so the seller does not pick the moment]. Credo has three such sellers since June, two of them within four weeks. Different readings of "several" give different answers for Credo, and your VIAV thesis uses "two or more within a month". Writing a number and a time window into `config/rules.toml` would settle it for every stock. (2) QQQM needs an approved thesis. The draft in `theses/QQQM.md` proposes a reason ("a low-cost, broad core that moves less than my single stocks") and two simple triggers.

Position: STRL (Sterling Infrastructure)

Bottom line: Sterling jumped 7.71% on Tuesday and fell 5.24% on Wednesday, with no company news either day: net +2.06% since you bought. Tuesday was a rally in companies that build AI data centers. Wednesday was construction stocks falling as interest rates jumped. Your 5% rule fired both days. Thesis: **Intact.**

Where it stands 0.019 shares, entry \$523.33 (the sheet's estimate, Monday's close; your fill price is not entered yet), now \$534.13, worth \$10.15: +\$0.21 (+2.06%) since you bought. Tuesday +7.71%, Wednesday -5.24%. Its usual daily swing from low to high is about 5.6% of its price, so both days were big but not extreme for this stock. It is still 46.9% below its 52-week high of \$1,005.68 (`data/metrics/2026-10-07.json`).

What happened, and why *Market vs company:* of Tuesday's +7.71%, about +1.67 points came from the market, +1.05 from infrastructure stocks (the PAVE fund) and +5.00 from Sterling itself. That company part is about one normal swing for it (z-score 1.11 [the move measured in this stock's usual swings]). Of Wednesday's -5.24%: -0.73 market, -5.24 industry, +0.72 Sterling (z-score 0.16). So Wednesday was almost all industry (attribution files for both days).

- Tuesday: Sterling published nothing. The S&P 500 closed at a record, helped by tech gains and cooler bond yields [CNBC live blog \(page dated 10-05\), 2026-10-06](#). The chip company Marvell raised its long-term revenue target to about \$20 billion on data-center demand [CNBC, 2026-10-06](#). Other data-center builders jumped too: MYR Group +7.5% and Comfort Systems +4.7% [StockStory via Yahoo Finance, 2026-10-06](#). PAVE holds roads, materials and machinery companies, so it rose only 1.00% and missed most of that rally. So most of Sterling's "own" 5 points was probably the data-center-builder group, not Sterling news (inference, medium confidence).
- Wednesday: in the morning the 10-year US bond rate touched its highest level since 2002 [CNBC, 2026-10-07](#), though it closed almost unchanged at 5.28% [US Treasury, 2026-10-07](#). Infrastructure stocks (PAVE) fell 2.49%, against -0.24% for the S&P 500 fund. The model gives -5.24 points of Sterling's fall to "industry". Why so much? Over the past year, whenever PAVE did better or worse than the market, Sterling has moved about 2.3 times as much as that gap. So a bad PAVE day predicts a much worse Sterling day. Sterling also usually moves about 3.3 times as much as the market (its beta [how much a stock tends to move when the market moves 1%]).

How this works Sterling's biggest business, E-Infrastructure, prepares huge plots of land for data centers, chip plants and warehouses. That means clearing and levelling, foundations, underground pipes and, since a recent purchase, electrical work. Think of the crew that levels a lot and digs the foundation before a house goes up, but for buildings the size of several football fields. That business made \$905.0 million in the second quarter (Q2), up 192% from a year earlier and about 78% of Sterling's revenue. Signed work not yet done (backlog [orders signed but not yet delivered]) was \$4.33 billion, up 116% [Sterling Q2 2026 results, 2026-08-03](#). Customer names are not disclosed. The share price depends on years of data-center building still to come. So it reacts strongly both to AI news and to interest rates (see the Lesson of the day).

Case to stay

1. Q2 revenue was \$1.168 billion (+90%), backlog \$4.33 billion (+116%), and the 2026 revenue forecast was raised to \$4.00–4.15 billion [Sterling Q2 2026 results, 2026-08-03](#).
2. Analysts expect third-quarter (Q3) adjusted profit [the company's own measure, leaving out some costs] per share of \$6.07, up 74% from a year earlier, and revenue of \$1.16 billion, up 67.7% from a year earlier but about level with Q2's \$1.168 billion [Zacks via Yahoo Finance, 2026-10-05](#).
3. No insider selling: the only insider filing since September is a gift by the chief executive, not a sale (data/filings/2026-10-07.json).

Case to retreat

1. It is very jumpy. It moves about 3.3 times the market, and its worst fall in the past year was 54%. This week it moved +7.7% and –5.2% on two days with no news (data/metrics).
2. Margins: the day after its record Q2 report it fell 11.42%, possibly because more of the new work is lower-margin data-center jobs [jobs that keep less profit from each dollar of sales]. That is your pillar 4 (theses/news/STRL.md; inference, medium).
3. Rate worries hurt it: the Fed's minutes point to another rate rise by year end, and its high price depends on years of growth [Yahoo Finance, 2026-10-07](#).

Thesis check Intact, unchanged. No trigger in theses/STRL.md was hit: backlog, the 2026 outlook and big tech's data-center plans are all unchanged in the window. Trigger 3 (big tech cuts data-center building plans) gets tested when Microsoft, Alphabet, Amazon and Meta report in late October.

Coming up The Fed's rate decision on 10-27/28 [Federal Reserve, 2026-10-07](#). Q3 results estimated 2026-11-02 after the close (not yet announced by Sterling).

Position: AAOI (Applied Optoelectronics)

Bottom line: AAOI rose 7.07% on Tuesday and fell 5.85% on Wednesday, with no new company news: net +0.80% since you bought. Your 5% rule fired both days, but each move was normal-sized for this very jumpy stock. Thesis: **Challenged**, unchanged from Monday (the share-dilution alert). One correction: another insider sold outside a pre-set plan in September.

Where it stands 0.070 shares, entry \$121.57 (the sheet's estimate), now \$122.54, worth \$8.58: +\$0.07 (+0.80%). Tuesday +7.07%, Wednesday –5.85%. Its usual daily swing is about 7.1% of its price, so both days were ordinary for it. It is 47.6% below its 52-week high of \$233.67 (data/metrics).

What happened, and why *Market vs company:* of Tuesday's +7.07%, about +0.89 points came from the market, –1.49 from chip stocks (SMH) and +7.66 from AOI itself (z-score 0.97: one normal swing). Of Wednesday's –5.85%: –0.39 market, –1.80 chips, –3.67 AOI (z-score –0.47).

- Tuesday morning was AOI's own move. It opened 3.6% higher and was up 6% by 9:52 a.m. New York time while other optical stocks were flat [24/7 Wall St, 2026-10-06](#). That site credited the end of AOI's \$600 million share sale. But that news came out Monday before the open, a full day earlier, so it is not new (rehash). A delayed reaction to the selling ending is possible but unproven (inference, low confidence).
- Tuesday afternoon the whole optical group rose: Lumentum +3.82%, Credo +3.93%. That was the day Marvell, which makes chips used inside optical modules, raised its long-term revenue target to about \$20 billion [CNBC, 2026-10-06](#). It is a plausible lift for optics names (inference, medium confidence).
- Wednesday: interest rates jumped and chip and optical stocks fell together (SMH –1.18%, VIAVI –3.88%). AOI had gained 29% in five sessions and moves about four times as much as the market, so a bigger drop fits (inference, medium) [Yahoo Finance, 2026-10-07](#).

- After Wednesday's close, an officer's planned sale was confirmed. Shu-Hua (Joshua) Yeh, a senior vice president, sold 6,000 shares on 10-05 at \$120.03, about \$0.72 million, under a pre-set 10b5-1 plan. He keeps 371,498 shares [SEC Form 4, 2026-10-07](#).
- Correction (older news, missed before): on 09-08 another senior vice president, Hung-Lun (Fred) Chang, sold 32,172 shares at \$110.21 (about \$3.55 million, about 11% of his stake) **without** a pre-set plan [SEC Form 4, 2026-09-10](#). That is one unplanned seller, so your "several insiders" breaker is not met.

How this works AOI makes optical transceivers [plug-in modules that turn electrical signals into light and back, so data centers can send data over glass fibre]. Optical stocks often move as a pack because they sell to the same few buyers: the big cloud companies building AI data centers. Over the past 60 days AAOI and Lumentum had a correlation of 0.83 [1.0 = they move in lockstep] ([portfolio-2026-10-07.json](#)). So news about one (like Marvell's forecast) lifts them all. AOI's third-quarter guidance [its own forecast] is revenue of \$255–290 million, against a record \$191.9 million in Q2 [AOI Q2 2026 results, 2026-08-06](#). Units sold are not disclosed.

Case to stay

1. Q3 guidance of \$255–290 million is well above Q2's record \$191.9 million [AOI Q2 2026 results, 2026-08-06](#).
2. A leading supplier of the chips inside optical modules raised its outlook on demand for optics (Marvell) [CNBC, 2026-10-06](#).
3. The \$600 million share sale is finished and no new one has been announced (Monday's report).

Case to retreat

1. Dilution: shares are up about 12.5% in five months, which is your trigger 6 (Monday's report; no new count since).
2. Analysts now expect Q3 profit of about \$0.14 a share, near the bottom of AOI's own \$0.11–0.26 range, on revenue of about \$266 million [Investing.com, 2026-10-07](#).
3. It still loses money under official (GAAP) accounting, and a typical day moves it about 7% (data/metrics).

Thesis check Challenged, unchanged. Trigger 6 in theses/AAOI.md (shares up more than 10% in six months) is met if read literally (Monday's report); nothing new changes it. The unplanned September sale by one insider is noted, not a trigger.

Coming up Q3 results estimated 2026-11-05 (not confirmed by AOI).

Position: MRNA (Moderna)

Bottom line: Moderna fell 7.75% on Tuesday and rose 4.81% on Wednesday: –3.31% since you bought. Tuesday was mostly a biotech-wide drop (the XBI fund –3.39%). A "plague scare" that had lifted vaccine stocks on Monday also faded after the World Health Organization (WHO) called the risk from a suspected plague death in Siberia low. That scare may be part of Monday's jump too, but the evidence is weak. Nobody published why it rose on Wednesday. Thesis: **Watch**, unchanged; everything still rests on the 10-24 cancer-vaccine data.

Where it stands 0.100 shares, entry \$203.21 (the sheet's estimate), now \$196.48, worth \$19.65: –\$0.67 (–3.31%). Tuesday –7.75%, Wednesday +4.81%. On Tuesday it first touched \$212.22, a new 52-week high, then closed 11.7% below that high. Its usual daily swing is about 7.5% of its price (data/prices/MRNA.csv, data/metrics).

What happened, and why *Market vs company:* of Tuesday's –7.75%, the model gives +1.02 points to the

market, -11.95 to biotech stocks (the XBI fund) and +3.18 to Moderna (z-score 0.29). The industry figure looks too big: the model learned that Moderna moves about three times as much as biotech, partly from its 177% jump in August. Read it as "most of Tuesday was biotech". Of Wednesday's +4.81%: -0.45 market, -0.62 biotech, +5.88 Moderna (z-score 0.53, normal for it).

- On Monday a worker at a plague research lab in Irkutsk, Siberia, died of a pneumonia that might be plague, and about 200 people were put under watch [Al Jazeera, 2026-10-05](#). Vaccine stocks jumped; Novavax rose 20%.
- On Tuesday the WHO said the risk was "moderate to low for Irkutsk, a low risk for the Russian Federation as a whole and very low for the WHO European region", and that none of the contacts had tested positive [UN News, 2026-10-06](#). Novavax and Moderna then fell, and Moderna gave back all of Monday's gain [Yahoo Finance, 2026-10-06](#). Other fast-rising biotech stocks fell too; XBI lost 3.39% on almost twice its usual volume.
- So, a possible correction to Monday's report: the scare may be part of Monday's +6.95% (inference, low confidence). The link to Moderna comes only from tier-3 reports, and the timing fits poorly. At 9:56 a.m. New York time on Tuesday, after the WHO comment, Moderna was still up 2%; it then hit its high and slid later with the whole sector [Yahoo Finance, 2026-10-06](#). Moderna does not sell a plague vaccine, so any such move was a reaction to headlines.
- Wednesday's +4.81% had no published cause. It opened lower and climbed all day. Index funds must buy Moderna at Thursday's close, before it joins the Nasdaq-100 on Friday, and traders may buy ahead of them (inference, low confidence) [Nasdaq, 2026-10-01](#).
- The new chief operating officer, Juan Andres, filed his first ownership form [Form 3: a new insider's first report of what they own]. He holds 125,000 shares, about \$25 million [SEC Form 3, 2026-10-05](#). Routine.

How this works Investors sometimes trade a "theme" rather than a company. When a disease scare hits the news, vaccine makers jump together, and when the scare fades they fall together, often before anyone checks whether the company would actually sell anything. That is "headline sensitivity". Moderna's real test is different: the full results of its melanoma (skin-cancer) vaccine trial with Merck on 10-24. Moderna's whole revenue last quarter was \$145 million, so today's price rests mainly on that vaccine's future sales [Moderna Q2 2026 results, 2026-07-31](#).

Case to stay

1. The Phase 3 trial [the last, largest test in patients before approval] with Merck met its main goals [Moderna/Merck, 2026-08-19](#).
2. The full data get the top slot at Europe's main cancer conference (ESMO) on 10-24 [Moderna via ACCESS Newswire, 2026-09-21](#).
3. Cash is not an immediate worry: it raised \$3.0 billion in September, nearly four times last quarter's \$0.8 billion loss [SEC 8-K, 2026-09-01](#).

Case to retreat

1. A possible miss: one analyst average for Q3 revenue (\$894.8 million) sits at or above what Moderna's own full-year forecast seems to allow for the quarter (our rough calculation; another aggregator shows \$876.6 million) [Yahoo Finance, 2026-10-07](#).
2. Citi rates it Sell and sees it at \$80, arguing the price already assumes about \$13 billion a year of cancer-vaccine sales [CNBC, 2026-09-30](#).
3. Above about \$210.58 its September convertible bonds [loans that can turn into shares] could become about 14 million new shares (about 3.6% more); a capped call [a hedge] offsets that up to about \$392.62. Trading above the line for a few hours on Tuesday converted nothing [SEC 8-K, 2026-09-01](#).

Thesis check Watch, unchanged. Pillar 1 in theses/MRNA.md (the full data confirm a clear benefit with acceptable side effects) is tested on 10-24. None of the seven triggers was hit, and no new share or bond

sale was filed.

Coming up Index funds buy at Thursday's close; Moderna joins the Nasdaq-100 on Friday 10-09 (confirmed). Full melanoma data at ESMO on Saturday 10-24, 10:30 a.m. New York time (confirmed). Q3 results probably early November (not announced; last two years 11-06 and 11-07).

Position: AXTI (AXT Inc)

Bottom line: AXT fell 3.00% on Tuesday and 5.08% on Wednesday, -7.93% since you bought: your worst position over the two days. There was no company news. Wednesday's whole drop came at the opening bell, when interest rates jumped and chip and optical stocks opened lower. Tuesday's slide was AXT's own and unexplained. Your 5% rule fired on Wednesday. Thesis: **Watch**, unchanged.

Where it stands 0.100 shares, entry \$86.66 (the sheet's estimate), now \$79.79, worth \$7.98: -\$0.69 (-7.93%). Tuesday -3.00%, Wednesday -5.08%. Its usual daily swing is about 8.3% of its price, the largest in your portfolio, so neither day was unusual for it. It is 44.3% below its 52-week high of \$143.16 (data/metrics).

What happened, and why *Market vs company:* of Wednesday's -5.08%: -0.40 points market, -1.80 chip stocks, -2.88 AXT itself (z-score -0.34, normal). Of Tuesday's -3.00%: +0.92 market, -1.47 chips, -2.45 AXT (z-score -0.29).

- Wednesday: AXT opened at \$79.78, already -5.1%, and closed almost exactly there, so the whole fall came at the open. That morning the 10-year bond rate touched 5.36%, its highest since 2002, before closing at 5.28% [Yahoo Finance, 2026-10-07](#). Optical peers also fell (AAOI -5.85%, VIAVI -3.88%). AXT is priced at about 42.5 times its past year's sales, against about 16.6 for its industry [Zacks via Yahoo Finance, 2026-10-07](#). Stocks priced on far-off growth are the most rate-sensitive (inference, medium; see the Lesson).
- Tuesday: no material news for AXT. It opened up 1.3% and slid 4.2% into the close while Lumentum and AAOI rose. Nobody published a reason. It had risen 36% in a month, so profit-taking is possible (inference, low confidence). Trading was lighter than usual both days (6.15 and 6.30 million shares against a 20-day average of 8.66 million), so this was not a rush for the exits (data/prices).
- Background, not new: BlackRock, the world's biggest fund manager, roughly doubled its stake to 9,359,639 shares (14.3%) at 09-30, from 7.1% in June [SEC Schedule 13G/A, 2026-10-05](#). That fits AXT joining the S&P SmallCap 600 index [a list of 600 smaller US companies that many funds copy] in September: index funds had to buy (inference, high confidence).

How this works AXT makes wafers [thin discs of crystal on which chips and lasers are built] of indium phosphide (InP). Laser makers such as Lumentum build the lasers inside optical modules on them. Its factories are in China, so every shipment to a US customer needs a Chinese export permit, and permits arrive at unpredictable times [AXT 10-Q, 2026-08-13](#). Think of a bakery whose oven is in another country: demand can be strong, but each delivery waits at the border. For Q3 the company guided revenue of about \$66 million and adjusted profit of \$0.30-0.32 a share on its results call; analysts expect \$0.30 [AXT Q2 call transcript via Motley Fool, 2026-08-03](#).

Case to stay

1. Two big laser makers have prepaid for supply: Lumentum, and also Coherent, with about \$22.3 million (the Coherent deposit is not in your thesis yet) [AXT 8-K, 2026-07-02](#).
2. Results are confirmed for 10-29, three weeks away; the guidance given on the results call was about \$66 million (transcript above) [Business Wire, 2026-10-01](#).
3. Analysts' 2026 forecasts have held steady over the past 30 and 60 days, with revenue expected to grow about 146% this year [Zacks via Yahoo Finance, 2026-10-07](#).

Case to retreat

1. It is the most volatile stock you own (usual daily swing 8.3%, beta 4.3), and it is priced at about 42.5 times its past year's sales [Zacks via Yahoo Finance, 2026-10-07](#).
2. Shipments depend on Chinese export permits whose timing AXT cannot control [AXT 10-Q, 2026-08-13](#).
3. Japanese rivals plan big capacity increases: JX Advanced Metals 7–10 times by 2030 and Sumitomo Electric 3.1 times by 2028 [TrendForce, 2026-06-16](#) [TrendForce, 2026-07-13](#). That is the early warning on your trigger 2 (more competition) and could pressure prices later.

Thesis check Watch, unchanged. Pillar 2 in theses/AXTI.md (permits keep flowing) is still weaker for US customers; nothing new on permits in the window. No trigger was hit. Trigger 2 (a rival ramps up large-scale production) is not hit, but its early warning is now recorded as present: rivals announced big expansion plans in June and July, found only today.

Coming up Q3 results Thursday 2026-10-29 after the close (confirmed). 2026-11-27: China's pause of its gallium and germanium export ban to the US is due to end; it affects AXT's other wafer types, not indium phosphide (date from AXT research file; extension status not verified).

Position: CRWD (CrowdStrike)

Bottom line: CrowdStrike rose 2.27% on Tuesday, when software and cybersecurity stocks hit 2026 highs, then fell 4.81% on Wednesday: -2.65% (-\$0.54) since you bought. Wednesday's fall was bigger than its industry's. Its own part was the most unusual company move in your portfolio that day, and nothing confirms why. One market site blamed its high valuation [how much investors pay for each dollar of its sales or profit] and profit-taking after seven straight gains (inference, low-to-medium confidence). Thesis: **Intact**.

Where it stands 0.074 shares, entry \$272.67 (the sheet's estimate), now \$265.44, worth \$19.64: -\$0.54 (-2.65%). Tuesday +2.27% (it touched a record \$286.99 during the day), Wednesday -4.81%. Its usual daily swing is about 4.3% of its price (data/metrics).

What happened, and why *Market vs company:* of Wednesday's -4.81%, about -0.31 points came from the market, -2.15 from cybersecurity stocks (the CIBR fund fell 1.44%) and -2.35 from CrowdStrike itself. That is z-score -1.53, about one and a half normal swings: noticeable, not rare. Tuesday's +2.27% was mostly the industry (+2.59), with CrowdStrike's own part -1.03.

- Tuesday: US software stocks hit their highest since November 2025 as fears that AI would replace software faded. The sector's expected 2026 profit growth rose to 20.6% from 13.8% at the end of March, and Reuters noted CrowdStrike, Fortinet and Palo Alto had more than doubled this year "as companies spend heavily on cybersecurity in the age of AI" [Reuters via Investing.com, 2026-10-06](#). Rival Zscaler confirmed its forecasts at an investor day [Zscaler, 2026-10-06](#).
- Wednesday: no confirmed cause. CNBC named CrowdStrike (down almost 5%) and Palo Alto among tech decliners as bond rates spiked in the morning (CNBC live blog, read via a search excerpt because the page was blocked). But CrowdStrike opened only 0.7% lower and slid all day to close near its low, even as rates eased, so rates alone do not fit. The Motley Fool found no company news and pointed to valuation and profit-taking after seven straight gains (+10.6%) and Tuesday's record [Motley Fool, 2026-10-07](#).
- Company news was small and positive: an industry report (IDC) named CrowdStrike a leader in endpoint security [an endpoint is a laptop, server or phone]. CrowdStrike said its AI-security business "has grown more than 79-fold in three quarters since launch", from a starting size it does not disclose [CrowdStrike, 2026-10-07](#). Its European conference sold out, with registrations up 60% [CrowdStrike, 2026-10-06](#).
- Three more insiders reported sales, all under pre-set 10b5-1 plans: a director about \$14.32 million [SEC](#)

[Form 4, 2026-10-05](#), the chief accounting officer about \$6.51 million [SEC Form 4, 2026-10-05](#) and the chief executive about \$5.42 million [SEC Form 4, 2026-10-06](#).

How this works CrowdStrike sells security software by subscription. Customers start with a few modules and add more, so revenue repeats and grows. Annual recurring revenue (ARR [the yearly value of all active subscriptions]) was \$5.84 billion, up 25% [CrowdStrike Q2 FY2027 results, 2026-08-26](#). Its newest product line protects companies' AI assistants: like a guard who checks every instruction an AI agent gets and every action it takes. Sales of that line are not disclosed in dollars, only the "79-fold" growth claim above.

Case to stay

1. ARR \$5.84 billion (+25%) and \$377.4 million of free cash flow [cash left after paying the bills and investing in equipment] last quarter [CrowdStrike Q2 FY2027 results, 2026-08-26](#).
2. The industry backdrop improved: software profit forecasts for 2026 rose to +20.6% growth [Reuters via Investing.com, 2026-10-06](#).
3. A US prosecutors' probe of its distributor deals was closed without action on 09-25, although the SEC's own inquiry may still be open [Bloomberg, 2026-09-25](#).

Case to retreat

1. Valuation: about 209 times next year's expected earnings and 43.5 times next year's sales, above its own 2021 peak; the S&P 500 is about 20 times [Yahoo Finance, 2026-10-07](#). The analysts' average target [the price they expect in about a year; an opinion], \$237.77, is about 10% below Wednesday's close [StockAnalysis, 2026-10-07](#).
2. Insiders keep selling: about \$26.2 million more in this window, all under pre-set plans, with no purchases (a weak signal, because the timing was set in advance) [SEC Form 4, 2026-10-05](#).
3. The SEC's inquiry into how it accounted for some customer deals has no announced end [Bloomberg, 2026-09-25](#).

Thesis check Intact, unchanged. No trigger in theses/CRWD.md was hit. Trigger 7 (ARR growth below 20%) is not hit: growth is 25%.

Coming up Fal.Con Europe in Barcelona, 11-02 to 11-04 (confirmed). Q3 results early December (estimated; guidance \$1,523.2–1,529.2 million revenue).

Position: PANW (Palo Alto Networks)

Bottom line: Palo Alto rose 3.23% to a record close on Tuesday with the software rally, then fell 3.42% on Wednesday as rates jumped: -0.29% since you bought. Both days were the industry, not company news. Thesis: **Intact**.

Where it stands 0.050 shares, entry \$406.76 (the sheet's estimate), now \$405.57, worth \$20.28: -\$0.06 (-0.29%). Tuesday +3.23% (a record close of \$419.91; during the day it touched \$432.33), Wednesday -3.42%. Its usual daily swing is about 4.2% of its price (data/metrics).

What happened, and why *Market vs company:* Tuesday's +3.23%: +0.56 market, +2.14 cybersecurity stocks, +0.54 Palo Alto (z-score 0.33). Wednesday's -3.42%: -0.24 market, -1.78 cybersecurity, -1.40 Palo Alto (z-score -0.87). Both normal-sized.

- Tuesday's rise was the software rally described under CrowdStrike [Reuters via Investing.com, 2026-10-06](#). Why it spiked to \$432.33 and faded is not known.
- Wednesday had no company news and no filing [SEC EDGAR, 2026-10-07](#); it fell with the group as rates rose [Yahoo Finance, 2026-10-07](#).

How this works Palo Alto sells firewalls [devices and software that decide what traffic may enter a network] and a growing set of subscription security products. Its newer subscription products (called next-generation security) had \$9.10 billion of ARR [the yearly value of active subscriptions], up 63%. Part of that growth came from buying the security company CyberArk [PANW Q4 FY2026 results, 2026-09-01](#). CrowdStrike and Palo Alto moved almost as one over the past 60 days (correlation 0.91), so your two cybersecurity stocks behave like one bigger position.

Case to stay

1. Next-generation security ARR \$9.10 billion (+63%) [PANW Q4 FY2026 results, 2026-09-01](#).
2. Its own Q1 forecast: revenue \$3.300–3.310 billion, up 33–34% (same source).
3. No new insider selling in the window beyond a small pre-planned sale already reported (SEC filings).

Case to retreat

1. Part of the fast growth comes from the CyberArk purchase. From about February 2027, both this year's and last year's figures will include CyberArk, so that boost to the growth rate disappears (same source; inference on timing).
2. It moves with CrowdStrike (correlation 0.91), so together they are about 17.5% of your money on one theme ([portfolio-2026-10-07.json](#)).
3. Valuation: at Wednesday's close it costs about 97 times its own forecast of adjusted profit for this fiscal year (\$4.16–4.19 a share; our calculation) [PANW Q4 FY2026 results, 2026-09-01](#). For comparison, the S&P 500 costs about 20 times expected earnings (see CrowdStrike). The analysts' average target, \$396.92, is below the price [StockAnalysis, 2026-10-07](#).

Thesis check Intact, unchanged. No trigger in theses/PANW.md was hit.

Coming up Q1 FY2027 results in mid-to-late November (not announced; third parties say 11-12 or 11-18).

Position: SNOW (Snowflake)

Bottom line: Snowflake slipped 0.90% on Tuesday, when software rose, then 0.92% on Wednesday with software: –1.81% since you bought. Tuesday's lag lines up with a hacking claim. Hackers told customers of the UK retailer ASOS they had "fully compromised the Snowflake instance". Snowflake says it found no compromise of its platform. Thesis: **Watch**, unchanged.

Where it stands 0.030 shares, entry \$338.99 (the sheet's estimate), now \$332.85, worth \$9.99: –\$0.18 (–1.81%). Tuesday –0.90%, Wednesday –0.92%. Its usual daily swing is about 4.1% of its price (data/metrics).

What happened, and why *Market vs company*: Tuesday's –0.90%: +0.56 market, +1.06 software (the IGV fund), –2.52 Snowflake (z-score –0.81: noticeable, within normal). Wednesday's –0.92%: –0.24 market, –1.32 software, +0.64 Snowflake. So Wednesday was the whole software group.

- Early Tuesday, hackers sent a message through the ASOS shopping app: "we have fully compromised the Snowflake instance. Engage with us, or we will leak it". ASOS said names and contact details may have been accessed, but not card details or passwords, and blamed "third-party platforms" used for customer messages. Snowflake told Reuters: "At this time, we can report that we have found no compromise of the Snowflake platform" [Reuters via The Globe and Mail, 2026-10-06](#). Snowflake fell about 2–3% before the open, recovered, then faded in the afternoon [Bloomberg via Insurance Journal, 2026-10-06](#).
- Co-founder Benoit Dageville filed notice of another planned sale: 50,000 shares (about \$16.7 million) under a pre-set plan. The same trust has sold 50,000 shares every two weeks since July [SEC Form](#)

[144, 2026-10-07.](#)

- Snowflake announced a free online event on 11-03 to 11-05 with Microsoft's chief executive Satya Nadella [Snowflake, 2026-10-05.](#)

How this works Each Snowflake customer gets its own private space (an "instance") to store and analyse its data. It is like a safe-deposit box in a bank vault: Snowflake builds and guards the vault, but each customer holds its own keys. If a customer's keys are stolen, its box can be opened without the vault being broken. That happened in 2024, when stolen customer passwords were used to take data from about 165 Snowflake customers. Snowflake's own systems were not hacked then either, but it made two-step logins compulsory [The Register, 2026-10-06.](#) Trust is the product, so even unproven claims move the stock. Snowflake earns money from how much customers use it: product revenue was \$1,491.9 million last quarter, up 37% [Snowflake Q2 FY2027 results, 2026-09-02.](#)

Case to stay

1. Product revenue \$1,491.9 million (+37%), and existing customers spend 26% more than a year ago (net revenue retention 126%) [Snowflake Q2 FY2027 results, 2026-09-02.](#)
2. Snowflake says it found no compromise of its platform, and ASOS points to other messaging platforms [Reuters via The Globe and Mail, 2026-10-06.](#)
3. Its own Q3 forecast is product revenue of \$1,588–1,593 million, up 37–38% [Snowflake Q2 FY2027 results, 2026-09-02.](#)

Case to retreat

1. If investigators find the hackers got in through ASOS's Snowflake account, the 2024 trust worries return; nobody knows yet (unknown).
2. Contracted future revenue fell once last quarter (\$9.21 billion to \$9.00 billion), the weak point in your thesis (theses/SNOW.md).
3. Founders and directors sell steadily under pre-set plans (about \$16.7 million more announced today) [SEC Form 144, 2026-10-07.](#)

Thesis check Watch, unchanged. Pillar 4 in theses/SNOW.md (contracted future revenue) is still the weak point; its test is Q3 results. None of the five triggers was hit. The breach claim is not a trigger, but a confirmed Snowflake-side breach would hurt the trust behind pillars 1 and 2 (inference).

Coming up 10-13: court deadline in the securities class action [a lawsuit on behalf of many shareholders], and the end of the option for buyers to take up to \$550 million more convertible notes [loans that can turn into shares] (approximate). EXPEDITION event 11-03 to 11-05. Q3 results about 12-02 (estimated).

Position: CRDO (Credo Technology)

Bottom line: Credo rose 3.93% on Tuesday with the optical group and held almost flat on Wednesday (−0.37%), after dropping as much as 5.8% during the day: +3.54% since you bought. No company news. A closer read of SEC filings corrects earlier reports: three insiders, not one, sold outside pre-set plans since June. Whether that meets your "several insiders" breaker depends on your definition (see Your rules today). Thesis: **Watch**, unchanged until you decide.

Where it stands 0.020 shares, entry \$212.48 (the sheet's estimate), now \$220.01, worth \$4.40: +\$0.15 (+3.54%). Tuesday +3.93%, Wednesday −0.37%. Its usual daily swing is about 6.6% of its price; it is 28.7% below its 52-week high of \$308.67 (data/metrics).

What happened, and why *Market vs company:* Tuesday's +3.93%: +0.59 market, −1.27 chips, +4.61 Credo (z-score 0.97). Wednesday's −0.37%: −0.26 market, −1.55 chips, +1.44 Credo (z-score 0.30). The "Credo" part on Tuesday was shared with the optical group (AAOI +7.07%, Lumentum +3.82%), which the

chip fund SMH does not capture (inference, medium).

- No Credo release, 8-K or dated news in the window (company news page; SEC EDGAR). The chief executive and finance chief had shares withheld to pay tax when stock awards vested [became theirs to keep] (code F [shares the company keeps to cover tax, not a sale in the market]) [SEC Form 4, 2026-10-06](#).
- Missed by Monday's report: before Monday's open, Stifel cut its price target to \$310 from \$350 but kept its Buy rating; no reason was published [TipRanks/The Fly, 2026-10-05](#).
- Correction: besides the Chief Legal Officer (5,000 shares on 09-21 and 5,000 on 10-01), the CTO, Chi Fung (Lawrence) Cheng, sold 3,790 shares at \$170.00 on 09-04 (about \$0.64 million) without ticking the 10b5-1 box [SEC Form 4, 2026-09-09](#). Earlier, director Clyde Hosein sold 3,451 shares at \$262.33 on 07-01 without a plan [SEC Form 4, 2026-07-02](#), and the Chief Legal Officer also sold on 06-11. Non-plan sales from 4 September to 1 October were about \$2.6 million. That is small next to about \$53 million of pre-planned sales by the chief executive, CTO and chief operating officer in the same weeks. The round prices and same-size batches suggest orders left in place to sell newly vested shares at set prices (inference, medium).

How this works Credo's biggest product is the active electrical cable (AEC): a copper cable with a small chip at each end that cleans up the signal. It is like a garden hose with a booster pump at each end. AI data centers use them to link servers and switches a few metres apart. Four customers were 84% of revenue last quarter, and AEC sales are not disclosed separately. Total revenue was \$479.0 million (+114.7%) [Credo Q1 FY2027 results, 2026-09-01](#).

Case to stay

1. Revenue \$479.0 million (+114.7%); guidance \$525–\$535 million for Q2 and growth above 85% for the fiscal year [Credo Q1 FY2027 results, 2026-09-01](#).
2. Its optical products are guided to more than \$600 million of revenue this fiscal year (management on the results call; transcript, tier 3) [Motley Fool transcript, 2026-09-08](#).
3. Stifel cut its target but still rates it Buy at \$310, about 41% above Wednesday's close [TipRanks/The Fly, 2026-10-05](#).

Case to retreat

1. Three insiders sold outside pre-set plans since June (two within four weeks), and heavy pre-planned selling continues with no insider buying (sources above).
2. Stifel's cut was at least the fifth target cut since results (data/research/2026-10-07/CRDO.json), and the stock fell about 20% the day after it beat forecasts (Monday's report).
3. Four customers are 84% of revenue; losing one would hurt (Q1 release above).

Thesis check Watch, unchanged, pending your definition of "several insiders": under two of the three possible readings, the breaker is met (see Your rules today). The gross-margin pillar in theses/CRDO.md stays weaker. Gross margin [the share of each sale left after paying to make the product] fell to 64.5% from 68.2%. The middle of Credo's own Q2 forecast is 63.9% (under official GAAP accounting), which would be a second fall. Trigger 5 tests that in December. The thesis line "insiders sold ... all pre-planned" is out of date as a fact; the thesis file's facts now record the non-plan sales, and the wording of your reasons is not changed.

Coming up Annual meeting 10-12 (confirmed). Q2 FY2027 results about 12-02 (estimated).

Position: FORM (FormFactor)

Bottom line: FormFactor fell 4.52% on Tuesday and 1.06% on Wednesday: -5.53% since you bought,

with no company news. Tuesday looked like FormFactor's own fall, but the stocks it really trades with (chip-equipment, test and memory companies) fell sharply that day: the middle of eight peers fell 3.52%. The broad chip fund hid that because NVIDIA rose. Thesis: **Intact**.

Where it stands 0.050 shares, entry \$147.99 (the sheet's estimate), now \$139.80, worth \$6.99: -\$0.41 (-5.53%). Tuesday -4.52%, Wednesday -1.06%. Its usual daily swing is about 5.2% of its price; it is 12.8% below its 52-week high of \$160.27 (data/metrics).

What happened, and why *Market vs company*: Tuesday's -4.52%: -0.02 market, -1.59 chips (SMH), -2.92 FormFactor (z-score -0.80). Wednesday's -1.06%: +0.01 market, -1.93 chips, +0.86 FormFactor (z-score 0.24).

- Tuesday: chip-equipment and test makers fell together: KLA -4.54%, Camtek -4.63%, Onto -3.60%, Lam Research -3.44%, Teradyne -3.20%; the middle of eight such peers fell 3.52% (Yahoo Finance daily closes; our arithmetic) [Yahoo Finance, 2026-10-07](#). So FormFactor fell only about one point more than its real peer group (inference, high confidence).
- Memory stocks also fell before results due this month. SK hynix, FormFactor's largest customer, fell 3.69% in Seoul on Tuesday and 2.82% on Wednesday, as Korean stocks dropped on oil prices and US bond yields [Korea JoongAng Daily, 2026-10-07](#). Reasons given for the memory selling (caution before results, a stronger Korean won) come only from tier-3 sites.
- Its move into the S&P MidCap 400 index [a list of 400 mid-sized US companies that many funds copy] took effect before Tuesday's open; the index funds bought at Monday's close (Monday's report) [S&P Dow Jones Indices, 2026-10-01](#). When that forced buying ends, a stock sometimes slips (inference, low).

How this works Before chips are cut from a wafer, each one is tested by touching it with thousands of tiny needles on a "probe card". FormFactor makes those cards. Each card is custom-made for one chip design and wears out, so chipmakers keep buying, especially for the high-bandwidth memory (HBM) used in AI. That is why memory makers' moods move FormFactor: SK hynix alone was 24.3% of revenue last quarter, when revenue was a record \$258.2 million [FormFactor Q2 2026 results, 2026-07-29](#).

Case to stay

1. Record revenue of \$258.2 million last quarter, and guidance of \$270 million $\pm$ \$10 million for Q3 [FormFactor Q2 2026 results, 2026-07-29](#).
2. Adjusted gross margin [the share of each sale left after making the product] was 53.3% last quarter, above the 50% line in your trigger 6 (Monday's report) [FormFactor Q2 2026 results, 2026-07-29](#).
3. No insider filings or analyst downgrades in the window (SEC EDGAR; research file).

Case to retreat

1. One customer, SK hynix, is about a quarter of revenue, and its shares fell two days running (sources above).
2. It is still up about 35% over the past month, so it has room to give back (data/metrics).
3. Analysts' average targets (\$138.63 to \$153.89, depending on the source) are now close to the price (research file, tier 3).

Thesis check **Intact**, unchanged. No trigger in theses/FORM.md was hit. Trigger 2 (memory makers cut spending) is the one to watch: Samsung reports preliminary results on Thursday 10-08 and SK hynix on 10-27.

Coming up Samsung preliminary Q3 results 10-08; FormFactor at an investor summit 10-13 (confirmed); SK hynix results about 10-27 (estimated); FormFactor Q3 results about 10-28 (estimated, not announced).

Position: AMD (Advanced Micro Devices)

Bottom line: AMD rose 2.80% to a record close on Tuesday, then dipped 0.55% on Wednesday: +2.23% since you bought. Tuesday had real company news: its chief executive said demand exceeds supply for years, and Citi raised its target. Thesis: **Intact**.

Where it stands 0.010 shares, entry \$631.75 (the sheet's estimate), now \$645.86, worth \$6.46: +\$0.14 (+2.23%). Tuesday +2.80% (record close \$649.42), Wednesday -0.55%. It is 1.9% below its 52-week high of \$658.52 (data/metrics).

What happened, and why *Market vs company:* Tuesday's +2.80%: +0.67 market, -1.12 chips, +3.24 AMD (z-score 1.09: about one normal swing). Wednesday's -0.55%: -0.30 market, -1.33 chips, +1.08 AMD.

- In Taipei on Tuesday, chief executive Lisa Su said demand exceeds supply, that AMD will "substantially increase our supply in 2027", and that it now plans capacity three to five years ahead instead of one to two [Taipei Times, 2026-10-07](#). She said AMD will raise its Taiwan supply-chain investment beyond the \$10 billion announced in May [Focus Taiwan, 2026-10-06](#).
- Citi raised its AMD target to \$800 from \$575 and kept Buy (tier-3 report). It argues AI "agents" (software that does tasks on its own) will need far more ordinary processors (CPUs), with AMD the main winner [TipRanks, 2026-10-06](#).
- After the close on Tuesday, AMD confirmed its Q3 results date: 11-03, after the market closes [AMD, 2026-10-06](#).

How this works A server's CPU [central processing unit: the general-purpose chip that runs the software] is the manager: it hands out work and does the many small jobs, while GPUs [graphics processing units: chips that do huge numbers of identical sums at once] do the heavy AI maths. AI agents create many more small jobs, so they need more CPUs, which is Citi's argument. AMD does not report CPU sales separately. Its data-center business, which combines both, made \$6.7 billion last quarter (+107%), 58% of revenue [AMD Q2 2026 results, 2026-08-04](#).

Case to stay

1. Data-center revenue \$6.7 billion (+107%), and Q3 guidance of about \$13.0 billion (+41%) [AMD Q2 2026 results, 2026-08-04](#).
2. Management says demand exceeds supply and is planning years ahead [Taipei Times, 2026-10-07](#).
3. Analysts expect Q3 revenue of \$13.06 billion, slightly above the guidance midpoint (Yahoo Finance, tier 3, in the research file).

Case to retreat

1. "Demand exceeds supply" also means AMD cannot sell more than it can get made: it depends on TSMC's capacity (inference).
2. It moves about 3.2 times the market and is near its record, so expectations are high going into 11-03 (data/metrics).
3. The World Labs purchase (about \$8.2 billion paid in new AMD shares) will add shares when it closes [SEC 8-K, 2026-09-28](#).

Thesis check **Intact**, unchanged. No trigger in theses/AMD.md was hit; trigger 3 (Helios, AMD's complete AI server racks, is delayed) is not hit.

Coming up Lisa Su keynote at the Open Compute Project (OCP) Global Summit, a data-center hardware conference, on 10-12 (confirmed). Q3 results 11-03 after the close (confirmed).

Position: TSM (Taiwan Semiconductor Manufacturing)

Bottom line: TSMC (ticker TSM) slipped 0.72% on Tuesday and 2.09% on Wednesday from Monday's

record: -2.80% since you bought. TSMC's own part was the largest piece on both days, but normal-sized for it, and there was no company news. Its September sales come out on Thursday morning (Madrid time). Thesis: **Intact**.

Where it stands 0.030 shares, entry \$485.80 (the sheet's estimate), now \$472.20, worth \$14.17: -\$0.41 (-2.80%). Tuesday -0.72%, Wednesday -2.09%. Its usual daily swing is about 2.2% of its price, so Wednesday was a normal-to-busy day (data/metrics).

What happened, and why *Market vs company*: Tuesday's -0.72%: +0.64 market, -0.57 chips, -0.79 TSMC (z-score -0.58). Wednesday's -2.09%: -0.28 market, -0.70 chips, -1.12 TSMC (z-score -0.83). Neither is unusual.

- In Taipei, TSMC's shares closed at a record on Tuesday and unchanged on Wednesday, so the US-listed shares' fall happened during US hours, when bond yields jumped [Focus Taiwan, 2026-10-07](#).
- AMD's chief executive said AMD is extending its planning with partners including TSMC to three to five years and will invest more in Taiwan [Focus Taiwan, 2026-10-06](#).
- Citi said it expects TSMC to beat its own Q3 forecast and AI revenue to nearly double next year [Yahoo Finance, 2026-10-07](#).

How this works TSMC is a foundry [a factory that makes chips designed by other companies]. Its newest processes print the most detail per chip. 77% of its wafer revenue comes from 7-nanometre and smaller processes [a nanometre is a billionth of a metre; smaller means more advanced chips]. Q2 revenue was \$40.20 billion [TSMC Q2 2026 results, 2026-07-16](#). It publishes sales every month, so investors get an early read before each quarter's results. For Q3 it guided \$44.6–45.8 billion (same source).

Case to stay

1. Q3 guidance of \$44.6–45.8 billion, with gross margin [the share of sales left after production costs] of 65–67% [TSMC Q2 2026 results, 2026-07-16](#).
2. Its biggest customers are expanding their plans with it (AMD's comments above).
3. Insiders have been buying small amounts, not selling (SEC filings in September; research file).

Case to retreat

1. The bar is high: analysts' Q3 revenue forecasts (about \$45.4–45.6 billion, per TipRanks and Zacks) sit near the top of TSMC's own range (\$44.6–45.8 billion), so results only "in line" may disappoint [TipRanks, 2026-10-06](#).
2. US chip tariffs are still a pending decision (thesis trigger 6; no news this week).
3. It costs about 30 times its past year's earnings, against a five-year median of about 22.6 (one tier-3 estimate) [GuruFocus, 2026-10-07](#).

Thesis check **Intact**, unchanged. The pillars in theses/TSM.md on AI-driven sales and margins are unchanged, and no trigger was hit.

Coming up September sales Thursday 10-08 at 13:30 Taipei (07:30 Madrid) (confirmed). Q3 results Thursday 10-15 at 14:00 Taipei, before the US open (confirmed) [TSMC, 2026-10-07](#).

Position: ASML (ASML Holding)

Bottom line: ASML, your biggest single stock, slipped 1.39% on Tuesday and 1.59% on Wednesday: -2.95% since you bought. There was no company news; both days were chip-equipment stocks falling. A bank note suggested ASML may enter a new chip-packaging machine market, which hit a Dutch rival, not ASML. Results come in a week (10-14). Thesis: **Watch**, unchanged.

Where it stands 0.014 shares, entry \$1,859.86 (the sheet's estimate), now \$1,804.96, worth \$25.27: -\$0.77 (-2.95%). Tuesday -1.39%, Wednesday -1.59%. Its usual daily swing is about 2.7% of its price; it is 9.8% below its 52-week high of \$1,999.96 (data/metrics).

What happened, and why *Market vs company*: Tuesday's -1.39%: +0.42 market, -0.80 chips, -1.01 ASML (z-score -0.63). Wednesday's -1.59%: -0.18 market, -0.98 chips, -0.42 ASML (z-score -0.26). Both ordinary.

- Tuesday: money went into AI chip designers (NVIDIA and AMD hit records) while chip-equipment and memory stocks fell [Yahoo Finance, 2026-10-06](#). ASML opened at its high for the day and fell all session (data/prices).
- Bank of America downgraded [lowered its rating on] the Dutch company Besi, which leads in "hybrid bonding" machines, partly because ASML might enter that market [Bloomberg, 2026-10-06](#). ASML has announced no such product [The Next Web, 2026-10-06](#).
- Wednesday: no material news; no published reason beyond the rate jump that hit chip stocks (SMH -1.18%). Some investors may be trimming before a busy results week (Samsung 10-08, ASML 10-14, TSMC 10-15) (inference, low confidence).

How this works ASML is the only maker of extreme ultraviolet (EUV) machines, the giant printers that draw the smallest circuit patterns onto chips. Hybrid bonding is a different, later step: stacking finished chips on top of each other and joining them directly, copper to copper, which AI memory needs. If ASML entered that market it would add a new product line, but nothing is announced (inference from tier-2 reporting). For Q3 ASML guided sales of €11.0–12.0 billion and a gross margin of 55–57%, and €43–45 billion for 2026 [ASML Q2 2026 results, 2026-07-15](#).

Case to stay

1. 2026 sales guidance of €43–45 billion, raised twice this year [ASML Q2 2026 results, 2026-07-15](#).
2. Its customers keep planning further ahead: AMD is extending planning with TSMC to three to five years, and TSMC buys ASML's machines [Focus Taiwan, 2026-10-06](#).
3. A possible new market (hybrid bonding) is being discussed by analysts [Bloomberg, 2026-10-06](#).

Case to retreat

1. The MATCH Act is draft legislation that could limit sales to China and the servicing of machines there; China is about 20% of 2026 sales. Its early warnings in your thesis are unresolved; its October status is unknown (thesis file; research file).
2. Results on 10-14 can move it sharply either way, and it is 11.1% of your money (portfolio-2026-10-07.json).
3. It costs about 60 times its past year's earnings, so it leaves little room for disappointment (reports/deep-dives/ASML-2026-10-04.md).

Thesis check Watch, unchanged. Your theses/ASML.md still shows early warnings on trigger 6 (MATCH Act) and trigger 8 (servicing in China); nothing new either way in the window. No trigger was hit.

Coming up Q3 results Wednesday 10-14, about 07:00 Amsterdam time (before the US open) (confirmed) [ASML, 2026-10-07](#).

Position: LITE (Lumentum)

Bottom line: Lumentum rose 3.82% to a record close on Tuesday and gave back 1.97% on Wednesday: +1.78% since you bought. No company news during trading. Tuesday was the optical rally, and Wednesday was chip stocks falling. After Tuesday's close it filed its annual-meeting papers. Their

shareholder letter says one newer product is "rapidly scaling past a \$100 million quarterly revenue run rate". A run rate is today's sales pace stretched to a full quarter, not reported sales. Thesis: **Intact**.

Where it stands 0.018 shares, entry \$1,091.67 (the sheet's estimate), now \$1,111.07, worth \$20.00: +\$0.35 (+1.78%). Tuesday +3.82% (record close \$1,133.40), Wednesday -1.97%. It is 2.3% below its 52-week high of \$1,137.20 (data/metrics).

What happened, and why *Market vs company*: Tuesday's +3.82%: +0.29 market, -1.32 chips, +4.86 Lumentum (z-score 0.97). Wednesday's -1.97%: -0.13 market, -1.62 chips, -0.22 Lumentum. So Wednesday was all industry.

- Tuesday's gain built through the day, from +0.4% in the first half hour [24/7 Wall St, 2026-10-06](#) to +3.82% at the close. It matched the optical group's rise on the day Marvell raised its forecast on optics demand [CNBC, 2026-10-06](#). Stifel had raised its target to \$1,232 on Monday (tier-3 report), citing demand for Lumentum's lasers ahead of supply [Investing.com, 2026-10-05](#). No source ties Tuesday to one cause (inference, medium).
- After the close, Lumentum filed its proxy statement [the papers for the yearly shareholder vote]. The meeting is on 11-18, online, with three routine items: elect eight directors, an advisory vote on executive pay, and re-appoint the auditor. It asks for no new shares [Lumentum DEF 14A, 2026-10-06](#).
- In that filing's letter, management says its optical circuit switch business is "rapidly scaling past a \$100 million quarterly revenue run rate" and should bring "revenue in the billions in upcoming years". It also says production of its next-generation 1.6T modules [optical modules that carry 1.6 terabits, or 1.6 trillion bits, of data a second] has started [Lumentum DEF 14A, 2026-10-06](#).

How this works An optical circuit switch (OCS) re-routes beams of light between fibres using tiny moving mirrors, without turning the light back into electricity. Think of a railway switch for light: trains change track without stopping at a station. Big AI data centers use it to reconnect thousands of chips quickly and with less power. Even at a \$100 million quarterly run rate it would be a small part of Lumentum, whose quarterly revenue guidance is \$1.225–1.275 billion [Lumentum Q4 FY2026 results, 2026-08-11](#).

Case to stay

1. A new product line is "scaling past a \$100 million quarterly revenue run rate", and 1.6T modules are in production [Lumentum DEF 14A, 2026-10-06](#).
2. An analyst says laser demand is ahead of supply into 2027 [Investing.com, 2026-10-05](#).
3. Results are confirmed for 11-05, with guidance of \$1.225–1.275 billion revenue (thesis file; Lumentum announcement).

Case to retreat

1. Not in your thesis yet: in March, Lumentum sold NVIDIA \$2.0 billion of convertible preferred shares at \$695.31, which can become about 2.9 million common shares, about 3.2% more [Lumentum 10-K, 2026-08-14](#). Not new, but relevant to your dilution pillar.
2. It moves with AAOI and VIAVI (correlations 0.83 and 0.84), so your optical stocks act like one bet (`portfolio-2026-10-07.json`).
3. It sits near its record after tripling this year (+201% year to date), so expectations are high (data/metrics).

Thesis check **Intact**, unchanged. No trigger in theses/LITE.md was hit. The NVIDIA preferred shares are an old fact now added to the thesis facts; dilution trigger 6 is not hit.

Coming up Lumentum talks at the OCP Global Summit on 10-14 (confirmed). Q1 FY2027 results 11-05 after the close (confirmed). Annual meeting 11-18.

Position: VIAV (Viavi Solutions)

Bottom line: VIAVI rose 2.62% on Tuesday with the optical group and fell 3.88% on Wednesday with it: -1.36% since you bought. The only company item was a small partnership with a UK test-equipment maker. Thesis: **Watch**, unchanged.

Where it stands 0.200 shares, entry \$46.91 (the sheet's estimate), now \$46.27, worth \$9.25: -\$0.13 (-1.36%). Tuesday +2.62%, Wednesday -3.88%. Its usual daily swing is about 5.3% of its price (data/metrics).

What happened, and why *Market vs company:* Tuesday's +2.62%: +0.14 market, -1.04 chips, +3.53 VIAVI (z-score 0.89). Wednesday's -3.88%: -0.06 market, -1.28 chips, -2.55 VIAVI (z-score -0.64). The "VIAVI" parts mostly mirror the optical group, which the chip fund does not capture (inference, medium).

- Calnex, a UK maker of network test equipment, expanded its partnership with VIAVI so their test products work together for AI, data-center and defence networks. No money terms were given [Calnex via PR Newswire, 2026-10-07](#).
- No SEC filing, insider trade or analyst change in the window [SEC EDGAR, 2026-10-07](#).

How this works VIAVI sells test equipment: machines that check whether networks and optical links work at full speed before and after they are built. AI data centers need far more testing because every link must run perfectly. For its fiscal Q1 it guided revenue of \$450-460 million [VIAVI Q4 FY2026 results, 2026-08-05](#).

Case to stay

1. Q1 guidance of \$450-460 million revenue and \$0.40-0.42 adjusted profit per share [VIAVI Q4 FY2026 results, 2026-08-05](#).
2. Partners are building AI-data-center testing around its products (Calnex above).
3. No new insider selling since September (SEC EDGAR).

Case to retreat

1. Four insiders, including the finance chief, sold about \$6.2 million outside pre-set plans in August-September (your trigger 6; Monday's report).
2. It moves closely with Lumentum (correlation 0.84), adding to your optical concentration (portfolio-2026-10-07.json).
3. The results date is not announced; the quarter ended a week later than last year, so results may come around 11-04 rather than 10-28 (inference, medium).

Thesis check Watch, unchanged. Trigger 6 in theses/VIAV.md (two or more insiders selling outside plans within a month) was met in August-September; nothing new in the window.

Coming up Q1 FY2027 results: estimated 10-28, possibly about 11-04 (not announced). Annual meeting 11-11 (confirmed).

Position: BE (Bloom Energy)

Bottom line: Bloom rose 3.19% on Tuesday with clean-energy stocks and fell 1.52% on Wednesday: +1.62% since you bought. No company news; two banks repeated their views. Wednesday, rival FuelCell Energy fell 12% after its finance chief left, and Bloom fell much less. Thesis: **Watch**, unchanged.

Where it stands 0.030 shares, entry \$286.65 (the sheet's estimate), now \$291.29, worth \$8.74: +\$0.14 (+1.62%). Tuesday +3.19%, Wednesday -1.52%. Its usual daily swing is about 6.6% of its price (data/metrics).

What happened, and why *Market vs company:* Tuesday's +3.19%: +1.22 market, +2.83 clean energy

(ICLN), -0.86 Bloom (z-score -0.20). Wednesday's -1.52%: -0.53 market, -3.38 clean energy, +2.40 Bloom (z-score 0.55). Both normal.

- Wednesday: fuel-cell stocks fell after FuelCell Energy's finance chief of 15 years stepped down (FuelCell -12%, Plug Power about -3%); Bloom's fall was "far softer" [24/7 Wall St, 2026-10-07](#).
- Bernstein kept a neutral rating [it expects the stock to do about as well as the market] with a \$282 target. It wrote that "a 10-20 GW behind-the-meter market by 2030 supports current valuation levels" [GW: gigawatts; one gigawatt is about the output of a large nuclear reactor]. It also wrote that utilities are becoming a second group of buyers [Investing.com, 2026-10-07](#). UBS kept Buy and set a \$350 target (TipRanks, tier 3).

How this works Bloom's fuel cells turn natural gas into electricity on site, without burning it, so a data center can get power without waiting years for a grid connection. "Behind-the-meter" means the power plant sits on the customer's side of the electricity meter. Bernstein's point is that utilities are starting to buy the same boxes to add capacity to their grids, a second kind of buyer. Product revenue was \$935.4 million last quarter, out of \$1,065.4 million in total; utility sales are not disclosed [Bloom Q2 2026 results, 2026-07-28](#).

Case to stay

1. 2026 revenue guidance of \$3.9–4.2 billion; analysts expect \$4.12 billion, near the top [Bloom Q2 2026 results, 2026-07-28](#) (consensus: Yahoo Finance, tier 3).
2. A second group of buyers (utilities) may be opening up [Investing.com, 2026-10-07](#).
3. Analysts expect Q3 revenue of about \$1.06 billion, about double a year earlier (tier 3) [Yahoo Finance, 2026-10-07](#).

Case to retreat

1. Bernstein's \$282 target is below Wednesday's \$291.29 close: it thinks the good news is already in the price [Investing.com, 2026-10-07](#).
2. Its biggest project (Oracle's Project Jupiter) is delayed: the gas pipeline is now expected in February 2027 (thesis file).
3. It is one of your jumpiest stocks: beta 4.2, usual daily swing 6.6% (data/metrics).

Thesis check Watch, unchanged. The Jupiter pillar in theses/BE.md is weaker because of the pipeline delay. No trigger was hit.

Coming up Q3 results in late October (not announced; estimated 10-26 to 10-29).

Position: A (Agilent Technologies)

Bottom line: Agilent dipped 1.14% on Tuesday and 0.14% on Wednesday: -1.28% since you bought. About 0.15 points of Tuesday's fall was not a loss: the stock went "ex-dividend", so the 25.5-cent dividend came off the price. You keep it, because you owned the shares before that day. Barclays raised its target. Thesis: **Intact**.

Where it stands 0.030 shares, entry \$171.29 (the sheet's estimate), now \$169.09, worth \$5.07: -\$0.07 (-1.28%), or about -1.1% counting the dividend you will receive. Tuesday -1.14% in price (-1.00% with the dividend), Wednesday -0.14% (data/prices).

What happened, and why *Market vs company:* Tuesday's -1.00% (with the dividend): +0.80 market, -0.60 health care (XLV), -1.20 Agilent (z-score -0.69). Wednesday's -0.14%: -0.35 market, +1.05 health care, -0.84 Agilent. The "health care" fund is mostly big drugmakers (Eli Lilly rose 2.70% on Wednesday), not lab-equipment makers like Agilent, so the company parts mostly reflect that mismatch (inference, high).

- Tuesday was the ex-dividend day [the first day a buyer no longer gets the next dividend]; the 25.5-cent dividend is paid on 10-28 [Agilent via Business Wire, 2026-09-16](#). Your 0.03 shares earn about 0.77 cents.
- On Tuesday all the lab-tools stocks rose early and then fell: Thermo Fisher -2.98%, Danaher -2.53% at the close [Yahoo Finance data, 2026-10-07](#). No cause was published.
- Barclays raised its Agilent target to \$195 from \$175 and kept Overweight [a rating meaning the analyst expects it to beat the market]; no reason was given [GuruFocus, 2026-10-07](#).
- Agilent opened new lab space in Boulder, Colorado, to make short DNA/RNA drug molecules for drug companies; first customer programs are expected in November, with no size disclosed [Agilent, 2026-10-05](#).

How this works A dividend is cash a company pays to its owners. On the ex-dividend day the price usually drops by about the dividend, because new buyers no longer get it. Your total value does not change: the drop in price is matched by the cash coming to you on 10-28. Agilent sells lab instruments, supplies and services to drug companies and laboratories. For its fiscal Q4 it guided revenue of \$1.98–2.00 billion [Agilent Q3 FY2026 results, 2026-08-26](#).

Case to stay

1. It barely moves with your chip stocks (its highest 60-day correlation with them is 0.21, with TSMC) and moves less than the market (beta 0.85), which serves your goal of diversifying (data/metrics).
2. Barclays raised its target to \$195 [GuruFocus, 2026-10-07](#).
3. It pays a steady dividend, 25.5 cents a quarter (Business Wire above).

Case to retreat

1. Growth is slow: Q4 guidance is +5.2% to +6.2% on a "core" basis [leaving out currency swings and recent acquisitions] [Agilent Q3 FY2026 results, 2026-08-26](#).
2. Lab-tools stocks fell together on Tuesday with no published reason, so sector mood drives it too.
3. It is 2.2% of your money, so even a good run moves your total little (portfolio-2026-10-07.json).

Thesis check Intact, unchanged. No trigger in theses/A.md was hit; trigger 3 (correlation with your chip stocks rises a lot) is not hit (highest 0.21).

Coming up Thermo Fisher results about 10-21 (estimated; a peer read-across); dividend paid 10-28; Q4 results about 11-30 (estimated).

Position: QQQM (Invesco NASDAQ 100 ETF)

Bottom line: You bought 0.100 shares of QQQM on Tuesday; the sheet uses Tuesday's close (\$312.76) as your entry. On Wednesday it slipped 0.26%, far less than your single stocks: -\$0.08 so far. It is a fund, not a company, so there is no company news. Thesis: **draft, not yet approved** (see theses/QQQM.md).

Where it stands 0.100 shares, entry \$312.76 (the sheet's estimate, Tuesday's close), now \$311.94, worth \$31.19: -\$0.08 (-0.26%). It is your largest holding, 13.7% of the portfolio, and 0.7% below its 52-week high of \$314.11. Its usual daily swing is about 1.2% of its price, the calmest thing you own (data/metrics).

What happened, and why *Market vs company:* Wednesday's -0.26%: -0.24 market, -0.01 its index, -0.01 the fund itself. It simply followed the market.

- No material news for the fund. The Nasdaq-100 index it copies adds Moderna on Friday 10-09, so QQQM will hold a small amount of Moderna, which you also own directly [Nasdaq, 2026-10-01](#).

How this works QQQM is an exchange-traded fund (ETF) that copies the Nasdaq-100: about 100 of the

largest non-financial companies on the Nasdaq exchange [Invesco, 2026-10-07](#). Buying one share buys a slice of all of them. It charges 0.15% a year, 15 cents per \$100 [Pensions & Investments ETF data, 2026-10-07](#). Its biggest holdings on 10-05 were NVIDIA 8.43%, Apple 7.28%, Microsoft 5.75%, Micron 5.01% and AMD 4.27% [StockAnalysis, 2026-10-05](#). It also holds Palo Alto (1.36%) and CrowdStrike (1.14%) (same source). So part of your QQQM money sits in companies you already own (AMD, Palo Alto, CrowdStrike, and from Friday, Moderna).

Case to stay

1. About 100 companies in one share, for 0.15% a year [Pensions & Investments ETF data, 2026-10-07](#).
2. It is much calmer than your stocks: worst fall in the past year 12.0% against 22.2% for your whole portfolio. Its volatility [how bumpy the ride is] over the past 60 days was 18.3%; your portfolio's over the past year was 41.6% (different time windows, so a rough comparison) (data/metrics).
3. It lowered your portfolio's overall jumpiness: beta 2.25 now, against 2.38 on Monday (portfolio-2026-10-07.json; Monday's report).

Case to retreat

1. It is still mostly technology: about 67% by one provider's count [Pensions & Investments ETF data, 2026-10-07](#). Counting what is inside it, about 76% of your money is in technology, not 67% (our calculation).
2. It overlaps with stocks you already own (AMD 4.27%, Palo Alto 1.36%, CrowdStrike 1.14%) [StockAnalysis, 2026-10-05](#).
3. A fund cannot beat the index it copies; when the whole market falls, it falls.

Thesis check No approved thesis yet. A draft in theses/QQQM.md proposes "a low-cost, broad core that moves less than my single stocks", with two pillars (it tracks its index cheaply; it stays calmer than your single stocks) and two triggers. Both draft pillars hold today. It becomes your yardstick only after you approve it.

Coming up Moderna joins the Nasdaq-100 on 10-09 (confirmed). Nothing fund-specific.

Your portfolio as a whole

Where you are: \$230.76 invested across 17 holdings, worth **\$227.80** at Wednesday's close: -\$2.96 (-1.28%). On Tuesday your 16 stocks rose \$1.31 (+0.66%), slightly more than the S&P 500 fund (+0.55%). On Wednesday your 17 holdings together fell \$4.26 (-1.84%). That was far worse than the S&P 500 fund (-0.24%) and the Nasdaq-100 fund (-0.25%). Biggest weights: QQQM 13.7%, ASML 11.1%, PANW 8.9%, LITE 8.8%, CRWD 8.6%, MRNA 8.6%. The weights are fairly even, so the portfolio behaves like about 12.9 equal-sized positions (data/metrics/portfolio-2026-10-07.json).

Why Wednesday hurt more than "beta" predicts: your portfolio usually moves about 2.25 times as much as the market. On a -0.24% market day that predicts about -0.5%, but it fell 1.84%. Of the \$4.26 loss, about \$0.66 came from the market, \$3.29 from your stocks' industries and \$0.31 from the companies themselves (our calculation from the attribution file). So the industries you own had a much worse day than the market: cybersecurity, chips, optics and construction fell, while big drugmakers rose (the health-care fund XLV +1.03%). Beta describes an average day, and this was not one (inference, medium; see the bottom line for the possible reasons).

Concentration in one story: about \$5.35 of every \$10 (53.5%) rides on AI data-center spending, and QQQM adds more through NVIDIA, Microsoft and others. Some pairs move almost as one over the past 60 days: CrowdStrike and Palo Alto 0.91; Lumentum with VIAVI 0.84 and with AAOI 0.83; ASML and FormFactor 0.80 [1.0 = they move in lockstep]. This week showed it: the optical stocks rose together on

Tuesday and fell together on Wednesday. QQQM moves most with TSMC (0.79) and AMD (0.74), and barely with Moderna (0.06) or Agilent (0.18).

Typical bad day: on 1 day in 20 this mix lost about 4.3% or more over the past year. That is about **\$9.71** on \$227.80 (one-day 95% value at risk, VaR). On those bad days the average loss was about 5.0%. If the whole market fell 5%, history suggests this portfolio would fall about 11.2%, roughly **\$25.58**. Its worst fall over the past year, held as it is today, would have been 22.2%.

Against your goals

- You want to **diversify beyond tech**. Today 67.2% of your money is in technology companies, 13.7% in QQQM, 10.9% in health care (MRNA, A) and 8.3% in industrials (STRL, BE). But QQQM itself is about two-thirds technology [Pensions & Investments ETF data, 2026-10-07](#). So counting what is inside it (look-through), about 76% of your money is in technology (our calculation; Monday 77.9%). In other words, QQQM lowered your tech share only a little. 53.5% rides on AI data centers (Monday 61.8%). That share fell mainly because QQQM is new money that the risk file counts as its own theme, not as AI data centers (our reading of `portfolio-2026-10-07.json`).
- You want it **reasonably safe**. Its yearly volatility [how bumpy the ride is] is about 41.6% (Monday 45.7%), and it moves about 2.25 times as much as the market (Monday 2.38). Both are lower mainly because of QQQM.
- You want **some high movers**: 13 of 17 holdings (70.8% of the money) move at least 1.5 times as much as the market.

Every holding is now set up in `config/portfolio.toml`; QQQM was added today as "Index fund (Nasdaq-100)".

Next 14 days:

Date	Event
Thu 2026-10-08	TSMC September sales (07:30 Madrid); Samsung preliminary Q3 results; index funds buy MRNA at the close
Fri 2026-10-09	MRNA joins the Nasdaq-100, and so QQQM (confirmed)
Mon 2026-10-12	OCP Global Summit opens: AMD keynote (confirmed); Credo annual meeting
Tue 2026-10-13	FormFactor at an investor summit; Snowflake court deadline
Wed 2026-10-14	ASML Q3 results before the US open (confirmed); Lumentum talks at OCP
Thu 2026-10-15	TSMC Q3 results, 2:00 a.m. New York time (confirmed)
Wed 2026-10-21	Thermo Fisher results, Agilent's biggest peer (estimated)
Just after	MRNA melanoma data 10-24 (confirmed); BE about 10-26 to 10-29; Fed decision 10-27/28; SK hynix about 10-27 (estimated); VIAV and FORM about 10-28; AXTI 10-29 (confirmed); STRL about 11-02; AMD 11-03 (confirmed); LITE 11-05 (confirmed); AAOI about 11-05

Lesson of the day

Why can a small move in interest rates hit fast-growing stocks so hard?

On Wednesday morning the interest rate on 10-year US government bonds jumped to about 5.36%, its highest since 2002, and your fastest-growing stocks opened lower. By the close the rate was back at 5.28%, almost where it started, yet many of them kept falling. So rates were at most part of Wednesday's story. But the mechanism is worth knowing, because it explains why your stocks react so strongly to rate news.

A share is a claim on all the profits a company will ever make. A dollar of profit that arrives years from now is worth less than a dollar today, because today's dollar could sit in a safe bond and earn interest in the meantime. So investors "discount" future profits: the higher the interest rate, the less a far-off dollar is worth today.

Worked example. What is \$100 of profit worth today if investors demand 5.27% a year (Tuesday's 10-year rate) or 5.365% (Wednesday's morning peak)?

- Profit arriving in **1 year**: \$94.99 vs \$94.91. It loses 0.09%.
- Profit arriving in **20 years**: \$35.80 vs \$35.16. It loses 1.8%, about 20 times as much.

So the same small rise in rates hurts companies whose value depends on profits far in the future much more. Investors pay very high prices for CrowdStrike (about 209 times next year's expected earnings) or AXT because they expect big profits *later*. That makes those stocks more sensitive to rates. QQQM fell only 0.26%: much of it sits in giant companies that already earn large profits today (inference). (Real investors demand more than the bond rate for risky shares, so treat this as a simplified example. The direction is what matters.)

Check yourself: if the 10-year rate fell sharply tomorrow, which would you expect to rise more that day, all else equal: QQQM or CrowdStrike? Why? (Answer at the end.)

New words today

- **Present value / discounting**: what a future dollar is worth today. The higher interest rates are, the less a far-off dollar is worth now.
- **Profit-taking**: selling a stock that has risen fast, to lock in the gain. It can push a price down with no news.
- **Ex-dividend date**: the first day a buyer no longer gets the next dividend. The price usually drops by about the dividend that day, and owners before it still get the cash.
- **Proxy statement**: the papers a company sends before its yearly shareholder meeting, listing what owners vote on (directors, pay, auditor).
- **Form 3**: the first report a new insider files, listing the shares they already own.
- **Tax withholding (code F)**: shares a company keeps back to pay an employee's income tax when stock awards vest. Not a sale in the market.
- **10b5-1 plan**: a selling schedule an insider sets months in advance, so they do not choose the moment of each sale. Sales outside such a plan get more attention.
- **Expense ratio**: a fund's yearly fee as a share of your money. QQQM's 0.15% is 15 cents a year per \$100.
- **Look-through (overlap)**: counting what is inside a fund. Your QQQM already holds AMD, Palo Alto and CrowdStrike, so you own a little more of them than your single positions show.
- **Optical circuit switch**: a switch that redirects light between fibres with tiny mirrors, without turning it into electricity. Like a railway switch for light.
- **Hybrid bonding**: joining stacked chips directly, copper to copper, used for AI memory.
- **Behind-the-meter power**: a power plant on the customer's own site, on their side of the electricity

meter.

- **Convertible preferred shares:** special shares, usually sold to one investor, that can turn into ordinary shares later. If they do, the share count rises.
- **Convertible bond:** a loan that the lender can swap for shares above a set price (the conversion price).
- **Headline sensitivity:** a stock jumping on news about a theme (a disease scare, say) before anyone checks whether the company's sales would change.
- **CPU:** central processing unit, the general-purpose chip that runs a computer's software and hands work to other chips.
- **Endpoint:** any laptop, server or phone that connects to a company's network and must be protected.
- **Firewall:** a device or program that decides which network traffic is allowed in or out.
- **Overweight rating:** an analyst's view that a stock will do better than the market. It is an opinion, not a fact.
- **Phase 3 trial:** the last and largest round of testing in patients before a drug can be approved.
- **Priced in:** already reflected in the share price, because investors expected it. Then even good news may not lift the stock.
- **VaR (value at risk):** a loss exceeded only on the worst 1 day in 20, based on past behaviour.
- **Valuation:** how much investors pay for each dollar of a company's sales or profit. CrowdStrike at about 209 times next year's expected earnings has a very high valuation; the S&P 500 is about 20 times.
- **Run rate:** today's sales pace stretched to a full quarter or year. It is a pace, not reported sales.
- **Vesting:** the moment shares promised to an employee become theirs to keep. Some are often kept back to pay tax (code F).
- **Minutes (of a central-bank meeting):** the written record of what the Federal Reserve's policymakers discussed, published about three weeks later.
- **Extreme ultraviolet (EUV) machine:** ASML's giant printer that uses very short-wavelength light to draw the smallest circuit patterns onto chips.

Data quality and sources

- **Holdings:** read from your FIDELITY sheet ("Trades" tab) with the Google Drive connector, read only, on 2026-10-07 at 16:17 UTC. There are 17 open rows: 16 dated 2026-10-05 and the new QQQM dated 2026-10-06. Fill price, stop-loss and target are empty for every row, so entry prices are the sheet's estimate (the closing price on the day you bought). The ticker "A " has a trailing space in the sheet; it was read as A.
- **Timing:** the first pipeline run was at about 12:18 New York time, during Wednesday's session. The unfinished Wednesday price bar was removed, so Tuesday was the last close for that run. After a usage-limit pause, everything was re-run after Wednesday's close (17:11 New York time), and this report uses Wednesday's closes. Tuesday's market-vs-company splits come from the first run; the second run overwrote the attribution file, so they are kept in `data/research/2026-10-07/tuesday-attribution.json`.
- **Pipeline:** every step ran both times (holdings, prices, metrics, attribution, portfolio risk, rules, SEC filings). Fundamentals were not refreshed today (weekly). QQQM was added to `config/portfolio.toml` (comparison fund QQQ, theme "Nasdaq-100 index fund", sector "Index fund (Nasdaq-100)") so the risk figures could classify it.
- **Research:** one research agent per stock (16). All were interrupted twice by usage limits and once by a short network outage, then resumed, and all 16 saved their files in `data/research/2026-10-07/`. The shared web-search allowance ran out partway for most of them, so later checks used direct page fetches (SEC EDGAR, company pages). Several tier-2 pages (Reuters, CNBC) were blocked; a few CNBC figures come from search-result excerpts and are marked as such.
- **Not confirmed:** why Moderna rose on Wednesday; why AXT slid on Tuesday; why CrowdStrike fell more than its industry on Wednesday; the link between the plague scare and Moderna (tier-3 sources only); UBS's Bloom target and TD Cowen's Bloom rating; several results dates (confirmed: TSMC

10-15, ASML 10-14, AXT 10-29, AMD 11-03, Lumentum 11-05).

- **Corrections to earlier reports:** Moderna's Monday jump may have been partly the plague scare (inference, low confidence); Credo had two insiders selling outside plans in September, not one; AAOI had one unplanned insider sale on 09-08; Stifel's Credo target cut on 10-05 was missed on Monday.
- Prices: Yahoo Finance (via the pipeline). Filings: SEC EDGAR. Fundamentals: SEC XBRL company facts. Market-vs-company splits: `data/metrics/attribution-2026-10-07.json` (Wednesday) and `data/research/2026-10-07/tuesday-attribution.json` (Tuesday).
- **After the window:** TSMC published its September sales and Samsung its preliminary Q3 results on Thursday 10-08, after this report's cut-off; they are not covered here.
- *Answer to "check yourself":* most likely CrowdStrike. More of its price rests on profits far in the future, so a lower discount rate lifts its value more, and it tends to move about 1.5 times as much as the market. "All else equal" matters: company news can always outweigh rates.

Informational research and education, not investment advice. The decisions are yours.